

Quarter End	Vanguard Total U.S. Stock Fund	Vanguard Total Bond Fund	70% Stocks	30% Bonds	Total Investment Gain/Loss	Total Withdrawn @ \$1,000/ Month	Ending value
Dec. 1999			210,000	90,000			300,000
Mar. 2000	3.84%	2.42%	216,564	90,678	10,242	(3,000)	307,242
June 2000	-4.39%	1.48%	205,557	90,520	2,077	(6,000)	296,077
Sept. 2000	0.27%	3.07%	204,612	91,799	5,411	(9,000)	296,411
Dec. 2000	-10.17%	3.98%	182,303	93,953	(11,745)	(12,000)	276,255
Mar. 2001	-12.27%	3.24%	168,151	84,062	(32,787)	(15,000)	252,213
June 2001	7.47%	0.79%	179,212	83,226	(19,562)	(18,000)	262,438
Sept. 2001	-15.93%	4.29%	149,164	85,296	(44,540)	(21,000)	234,460
Dec. 2001	12.32%	-0.08%	166,041	83,728	(26,231)	(24,000)	249,769
Mar. 2002	0.97%	0.06%	175,034	73,476	(24,490)	(27,000)	248,510
June 2002	-12.69%	2.80%	151,322	74,033	(44,645)	(30,000)	225,355
Sept. 2002	-16.84%	3.71%	124,340	75,279	(67,381)	(33,000)	199,619
Dec. 2002	7.82%	1.47%	132,563	74,886	(56,551)	(36,000)	207,449

The year 2001 starts with a rebalanced target allocation of 70 percent in stocks and 30 percent in bonds. However, in 2001 the stock market continues lower. By the end of that year, the woman has \$249,769 in her portfolio, which is \$50,231 below its starting value of \$300,000. The woman is no longer smiling. She acknowledges that \$24,000 has been withdrawn from the portfolio over the last two years, and she reluctantly agrees that she will still rebalance the portfolio back to the target of 70 percent in stocks and 30 percent in bonds for the start of 2002.

As the financial planner works through 2002, a flag goes up that ends the exercise. In June 2002, the portfolio value falls to \$225,355, and the woman becomes very concerned. By September, the portfolio value falls below \$200,000 to \$199,619. That is a breaking point for the woman. She becomes emotional about the 70 percent stock and 30 percent bond allocation, which is evident when she comments, "At this rate I will be broke in five years."

When answering questions on a questionnaire, it is easy for people to mistakenly assume that they can handle more risk than they are capable of handling. Despite the woman's young retirement age and her desire to take risk, she is not capable of handling the risk of a 70 percent stock and 30 percent bond portfolio.

The financial planner explains to the woman that if she is inclined to abandon her investment plan after losing money, then the 70 percent stock and 30 percent bond portfolio asset allocation is too aggressive. A less aggressive asset allocation should be implemented from the start. The